ASSETPLUS

PARTNER FAQ PARTNERS ONLY

SIF tax and objection handling

How one month can change the tax bill, and what to say when clients push back



In short: SIF units are taxed like mutual fund units. The rate depends on the strategy's tax category and on how long the client holds. One month can change the bill.



Suresh, 52

Senior manager · 30% tax slab · illustrative story

Suresh's ₹10 lakh in an equity-taxed hybrid SIF grew by ₹75,100 in 11 months. He wanted to sell. His partner pointed out that after 12 months the gain falls within the ₹1.25 lakh yearly exemption, if he has no other equity gains. Selling now: ₹15,020 tax. Waiting one month: nil.

"One month made a ₹15,000 difference. Why did nobody tell me this before?"

The tax clock

individual investor, today's rules, before surcharge and cess



Which clock applies?

each strategy states its tax category in its documents

Tax category	Means	Within	Rate	After	Rate
Equity-oriented	65%+ in Indian equity (arbitrage counts)	12 months	20%	12 months	12.5% above ₹1.25 lakh
Other	Between equity and debt	24 months	Slab	24 months	12.5%
Debt-oriented	65%+ in debt	Any time	Slab	Any time	Slab

₹10 lakh earning the middle hybrid SIF's 7.51%

what a 30% slab investor keeps

	Gain	Tax	You keep
Bank FD, interest taxed each year	₹61,100	₹18,330	₹42,770
SIF, equity-taxed, sold within 1 year	₹75,100	₹15,020	₹60,080
SIF, equity-taxed, sold after 1 year	**₹75,100**	**₹0**	**₹75,100**
SIF, other, sold within 2 years	₹75,100	₹22,530	₹52,570
SIF, other, sold after 2 years	₹75,100	₹9,388	₹65,712

Good to know

- Switching between strategies counts as selling
- Short-term losses offset any gains; long-term losses only long-term gains
- Unused losses carry forward 8 years
- Companies pay the same capital gains rates

Always check

- The strategy's tax category
- How long the client will hold
- Other equity gains this year
- The client's tax adviser

For AssetPlus partners (registered mutual fund distributors) only. Not for distribution to investors. Investments in Specialized Investment Funds involve relatively higher risk, including potential loss of capital, liquidity risk and market volatility. Please read all SIF related documents carefully before investing. Mutual Fund investments are subject to market risks, read all scheme related documents carefully. Past performance may or may not be sustained in future.

Objections and answers

what clients say, and what you can say

They say	You can say
"₹10 lakh is a lot to lock in."	It is not locked. Equity SIFs pay out any business day; hybrid SIFs on set days. Only use money not needed for 2 years.
"It is new. No track record."	True: about a year. Start with a slice and judge it over 2 years. 3 hybrid SIFs have a full year, 9 have 6 months.
"Why not just an FD?"	₹10 lakh in an FD kept ₹10,42,800 after tax in 12 months; the middle hybrid SIF ₹10,60,080 if equity-taxed. The FD never dips; the SIF can.
"Betting against shares sounds risky."	It is capped at 25% of the fund and is mostly used to soften falls. It loses money if the market rises.
"What happens when markets fall?"	In March 2026 ₹10 lakh in the Nifty lost ₹1.13 lakh; in the middle hybrid SIF about ₹19,000; in the worst one ₹74,300.
"Is this a PMS?"	No. A pooled fund with a daily NAV, from ₹10 lakh, taxed only when sold.
"Is my money safe?"	Regulated by SEBI under mutual fund rules; assets held by a custodian. Returns are not guaranteed.
"Which one should I choose?"	Start from the need: hybrid for steadier, equity for growth. Then compare risk level, manager and redemption days.
"The returns vary a lot."	They do: from −1.0% to 24.0% in 6 months. Choose on strategy, not on last year's winner.
"Why trust a new brand?"	SIF brands belong to established fund houses: Magnum SIF to SBI Mutual Fund, iSIF to ICICI Prudential, Arudha to Bandhan.

Tax at a glance

what clients compare a SIF with; 30% slab investor

Product	How gains or interest are taxed
Bank FD	Interest at slab rate, every year
Arbitrage fund	20% within 1 year; 12.5% after, above ₹1.25 lakh
Income plus arbitrage FoF	Slab within 2 years; 12.5% after
Balanced advantage fund	Usually equity rules
Multi-asset fund	Equity or other rules, by fund
SIF	By its tax category (page 1)

Explain the tax in one minute

CLIENT
How much tax will I pay on this SIF?

PARTNER
It depends on two things: the strategy's tax category, and how long you hold.

CLIENT
And if it is equity-taxed?

PARTNER
Sell within a year: 20% of the gain. After a year: 12.5%, and the first ₹1.25 lakh of equity gains each year is free.

Suresh's month, in rupees

₹15,020
tax if he sold at 11 months

₹0
tax if he waited until 12 months

₹15,020
saved by waiting one month

Equity-taxed strategy; assumes no other equity gains that year.

Before you recommend, check

- ₹10 lakh+ with one fund house's SIFs
- Not needed for 2+ years
- Client accepts losing months

Never say

- "It cannot fall" or "capital is protected"
- "It will beat FDs every year"
- Any return you cannot show from data

For AssetPlus partners (registered mutual fund distributors) only. Not for distribution to investors. Investments in Specialized Investment Funds involve relatively higher risk, including potential loss of capital, liquidity risk and market volatility. Please read all SIF related documents carefully before investing. Mutual Fund investments are subject to market risks, read all scheme related documents carefully. Past performance may or may not be sustained in future. **Method.** Tax rates under the Income-tax Act as amended by the Finance Act 2025, for a resident individual, before surcharge and cess; check each case with a tax adviser. Tax for a 30% slab investor before cess and surcharge, under today's rules; it depends on each investor's situation. Sources: AMFI SIF and mutual fund NAVs (our calculations, Regular plans, growth), AMFI SIF assets, NSE Indices, RBI, SEBI SIF framework. Data to 23 Oct 2026.